opportunities to the poor to improve their livelihoods because there were no banks to extend credit support. I was unfamiliar though with the pros and cons of the issue at the policy level, since banking policy issues in the ministry of finance were in the charge of the Department of Financial Services whereas, as finance secretary, I was in charge of the Department of Economic Affairs.

As the discussion rolled on, we realized that all three of us were on the same page—of balancing the efficiency of a laissez-faire regime with the equity-enhancing licensing regime. The challenge of managing the tension was most acute for Chidambaram who had to balance his reformist instinct to dismantle the licensing regime with his compulsions, as a politician, to deepen bank penetration. I would recall this conversation several times in later years as the Reserve Bank, on my watch, moved quite a distance towards bank branch delicensing.

It was well past 9 p.m. by the time the conversation ended. Chidambaram walked me to the car parked in the drive of his house and wished me a safe flight. I was touched by this gesture as few ministers would extend such courtesy when their staff came to see them at home, but then I had always known that Chidambaram was way more courteous than he is given credit for. Of course, he can’t suffer fools, but that is a different matter.

At any other time, I would have rehashed the interview in my mind, thinking through where I could have put across my views better or argued more coherently. But just then, I was too preoccupied with more immediate concerns, like getting ready for the journey and all the preparation I still needed to do for the G20 meeting.

As I was driving home, I got Rakesh on the line at last and told him about my ‘interview’. He was not aware that I too had been invited to an interview, and frankly, was quite flustered when I gave him the news. I got home, scurrying to pack, bathe and eat, and set off for the airport. In the middle of all this, Rakesh called back to let me know how touched he was that I levelled with him, and both of us acknowledged, in unspoken words, that no matter what the final decision, it would not affect our friendship. I